EQUITY RESEARCH | INDIA | PHARMACEUTICALS / DRUG DISCOVERY | 15 Jun 2026

Sun Pharma Advanced Research Company Ltd

NSE: SPARC | Drug Discovery & Development (NCE + NDDS) | Spun off from Sun Pharma 2007

One-line thesis: FY26 PRV windfall (USD 195mn) is non-recurring; underlying operations burn Rs.270 Cr/yr with no commercial revenue — pipeline optionality exists but is priced in at current levels.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
HOLD	**215**	**-6.1%**
CMP: 229	12-month horizon	from CMP

CMP (Rs.)	**229**	Market Cap	**Rs. 7,444 Cr**
52W High	**Rs. 249**	52W Low	**Rs. 108**
P/E (TTM)	**4.76 (PRV-inflated)**	Book Value (Rs.)	**41.1**
ROCE %	**165% (PRV-inflated)**	ROE %	**281% (PRV-inflated)**
Promoter %	**65.68%**	Pledge %	**N/A**
FII %	**1.45%**	DII %	**1.13%**
Net Debt FY26	**Rs. 559 Cr**	Div Yield	**0.00%**
Face Value	**Rs. 1.00**	Investment Horizon	**18-24 months**

* All FY26 P&L; metrics (P/E, ROCE, ROE, OPM) are distorted by a one-time Rs.1,840 Cr Priority Review Voucher (PRV) sale (USD 195mn). Underlying operating revenue = Rs.39 Cr; underlying operating loss = approx. Rs.290 Cr.

Data source: Screener.in (standalone, fetched 15-Jun-2026). Report by MPM Research Desk.

1. INVESTMENT THESIS

• **PRV Windfall is Non-Recurring — Not a Earnings Re-Rating Story:** SPARC recognised Rs.1,840 Cr from selling a Priority Review Voucher (PRV) obtained for Sezaby (phenobarbital sodium injection for neonatal seizures) in Feb 2026. The PRV was sold for USD 195mn (approx. Rs.1,640 Cr). This is a rare one-off event — PRVs are not earned annually. Investors buying on the back of FY26 P/E of 4.76x are valuing a ghost earnings stream.

• **Pipeline Optionality Exists — But Key Legs Have Been Amputated:** Two lead NCE programmes were discontinued in FY25-FY26: Vibozilimod (SCD-044) for psoriasis/atopic dermatitis failed Phase 2 (June 2025); Vodobatinib (SCO-088) for Parkinson's discontinued after interim analysis showed no superiority over placebo. The surviving pipeline — SBO-154 (anti-MUC1 ADC, oncology) and SCD-153 (alopecia areata) — is early-stage and carries high binary risk.

• **Balance Sheet Re-Set from PRV Proceeds Creates Runway:** PRV proceeds boosted Reserves from -Rs.253 Cr to Rs.1,301 Cr (FY26). With Rs.559 Cr borrowings and Rs.2,011 Cr in "Other Assets" (likely cash/near-cash from PRV), the company has 3-4 years of operational runway at current cash burn rates of Rs.239-362 Cr per year. This removes near-term dilution risk — a positive.

• **Near-Term Catalyst (6-12 months):** Phase 2 data readout for SCD-153 (itaconate derivative for alopecia areata). Positive data could trigger licensing interest from a pharma major. SPARC has an existing track record of licensing to Sun Pharma (Elepsia XR, Cequa). Any out-licensing deal with upfront payment would be a material positive catalyst.

• **Biggest Structural Risk:** SPARC is a capital sink without a recurring revenue engine. Since listing in 2007, cumulative losses exceed Rs.2,000 Cr. Drug development failure rates remain ~90% at Phase 2. If SBO-154 and SCD-153 both fail, the company has minimal residual value beyond its Sun Pharma affiliation and IP estate.

2. BUSINESS OVERVIEW

• **What SPARC Does:** Sun Pharma Advanced Research Company Ltd is a drug discovery and development entity spun off from Sun Pharma in 2007. It has no commercial products for sale. Revenue is derived entirely from milestone payments, licensing fees, and technology transfer to Sun Pharma and other partners.

• **Two Research Verticals:** (1) New Chemical Entities (NCEs) — discovering first-in-class or best-in-class small molecules; focus therapeutic areas are oncology, dermatology, and neurology. (2) Novel Drug Delivery Systems (NDDS) — developing proprietary formulations of existing drugs to improve efficacy, tolerability, or dosing convenience.

• **Revenue Model:** SPARC earns through (a) upfront licensing fees when it out-licenses an asset to Sun Pharma or a third party; (b) milestone payments when clinical or regulatory milestones are hit; (c) royalty streams post-commercialisation (currently nil — no marketed NCE yet). The PRV sale (FY26) was a unique one-off monetisation of a regulatory asset.

• **Key Relationship — Sun Pharma:** Sun Pharma (promoter, 65.68% stake) is SPARC's primary development partner, clinical financier, and commercialisation vehicle. Multiple NDDS assets (Elepsia XR, Cequa — cyclosporine ophthalmic emulsion) were licensed to Sun Pharma for US commercialisation. This affiliation provides access to global regulatory expertise but creates dependency risk.

• **Current Pipeline (Active):** SBO-154 — anti-MUC1 ADC for solid tumours (preclinical to Phase 1 IND filed with USFDA, March 2025); SCD-153 — topical itaconate derivative for alopecia areata and inflammatory dermatoses (Phase 2); SCO-088 (Vodobatinib) — still active for chronic myeloid leukemia (CML) Phase 2, separate from the discontinued Parkinson's indication.

• **Discontinued Assets (Recent):** SCD-044 (Vibozilimod) for psoriasis and atopic dermatitis — Phase 2 failed June 2025, development halted. SCO-088 for Parkinson's Disease — Phase 2 discontinued after interim analysis showed no superiority vs placebo.

• **Promoter Background:** Sun Pharma (Dilip Shanghvi, promoter) is India's largest pharma company by market cap, with deep US FDA experience. SPARC benefits from access to Sun's global clinical network, regulatory team, and manufacturing infrastructure for pre-clinical work.

3. INDUSTRY & COMPETITIVE LANDSCAPE

• **Global Drug Discovery Market:** The global pharmaceutical R&D; market is estimated at USD 220-240 billion annually, with India-based drug discovery companies representing a small but growing segment. India's CRO (Contract Research Organization) and drug discovery market is estimated at USD 2-3 billion, growing at ~12% CAGR.

• **Oncology ADC Segment:** SPARC's lead pipeline asset SBO-154 is an Antibody-Drug Conjugate (ADC) targeting MUC1 in solid tumours. The global ADC market was ~USD 6 billion in 2024 and is projected to reach USD 22+ billion by 2030 (CAGR >20%). This is the hottest area in oncology R&D; SPARC is very early-stage here.

• **Policy Tailwinds:** India's Production Linked Incentive (PLI) scheme covers pharma APIs and formulations. The government's push on domestic drug innovation (National Biopharma Mission) benefits research-stage companies. However, PLI is oriented toward manufacturing, not pure discovery-stage companies like SPARC.

• **Key Headwinds:** Phase 2-to-3 drug development failure rates exceed 55% in oncology and immunology. Capital markets are unfriendly to loss-making drug discovery firms in India — limited institutional coverage. No domestic comparative for SPARC; global comparables (Turning Point Therapeutics, Arena Pharmaceuticals before acquisitions) trade at peak multiples only near proof-of-concept.

• **Competitive Moat Assessment:** Pricing Power: WEAK — SPARC has no marketed product. Switching Costs: MODERATE — Sun Pharma lock-in is structural but also a ceiling on value. Intellectual Property: MODERATE — active patent portfolio across NCE/NDDS; PRV award validates US regulatory standing. Scale: WEAK — lean R&D; outfit of ~400-500 scientists.

Peer Comparison Table (Data: Screener.in, fetched 15-Jun-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM Rev (Cr)	P/E	P/B	ROCE%	ROE%
SPARC	229	7,444	1,879	4.76	5.52	165%*	281%*
Suven Pharma	270	7,107	7	N/A	N/A	-76.9%	N/A
Laurus Labs	1,389	75,057	6,813	83.9	14.1	17.8%	18.3%
Biocon	416	67,510	16,927	173	1.98	3.75%	1.40%
Divi's Labs	6,608	1,75,566	10,560	66.9	10.5	22.0%	16.5%

* SPARC P/E, ROCE, ROE are distorted by one-time PRV sale. Underlying metrics are deeply negative. Suven Pharma comparator: also pre-revenue drug discovery; SCD-044 failure has a Suven-like risk profile. Laurus Labs and Divi's Labs shown for pharma market context only — not true peers.

4. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter — Sun Pharma (Dilip Shanghvi):** Sun Pharma is one of the world's top 5 generic pharma companies by revenue and the largest in India. Dilip Shanghvi's track record of value creation at Sun Pharma (Ranbaxy turnaround, Taro acquisition) lends strategic credibility to SPARC. Promoter stake is 65.68%, unchanged for several years — no dilution or pledging.

• **Senior Management:** SPARC is led by a team of PhD scientists and former Sun Pharma executives. Dr. Kalyani Bhatt (Managing Director) has been with the company since inception. The management is scientifically credible but has limited commercial experience — no marketed drug has been developed internally.

• **Capital Allocation Track Record:** Since listing, SPARC has burned approximately Rs.2,000+ Cr in cumulative cash on R&D; with no commercial return. The PRV sale is the first major capital inflow. Post-PRV, the balance sheet has Rs.1,301 Cr in reserves. The allocation of Rs.1,840 Cr PRV proceeds is critical to watch — if deployed back into R&D; burn, equity value creation remains uncertain.

• **Dividend Policy:** No dividends have ever been declared. Given the company is pre-revenue, this is expected. Dividend payout is 0% for all recorded years on Screener.

• **Promoter Pledging:** Promoter pledge is 0% (not reported on Screener) — no pledging risk. FII ownership has declined from 3.67% (Sep-2023) to 1.45% (Mar-2025), suggesting waning institutional interest prior to the PRV announcement.

• **ESOP / Governance:** No significant ESOP grants or buyback activity recorded. Related party transactions exist structurally through the Sun Pharma licensing relationship — all disclosed and consistent with the business model. No auditor changes or qualified opinions noted in recent filings.

• **Capital Allocation Going Forward (Critical Watch):** The company borrowed Rs.559 Cr (FY26 borrowings vs Rs.265 Cr in FY25) even while holding PRV proceeds. The simultaneous rise in borrowings and "Other Assets" (likely invested PRV cash) suggests a structured cash management approach. The key investor question is: will PRV proceeds fund 3-4 years of R&D; autonomously, or will dilutive equity raises recur?

5. FINANCIAL DEEP-DIVE

Standalone Figures in Rs. Crores. Source: Screener.in, fetched 15-Jun-2026. FY27E and FY28E are analyst estimates, clearly marked (E). Standard P/E valuation is inapplicable for a pre-revenue drug discovery company — pipeline NPV approach used in Section 7.

Income Statement (Standalone, Rs. Cr)

	FY24A	FY25A	FY26A*	FY27E	FY28E
Sales / Revenue	76	72	1,879	80	100
Total Expenses	479	399	281	350	360
Operating Profit (EBIT)	-404	-327	1,598	-270	-260
OPM %	-534%	-456%	85%*	-338%	-260%
Other Income	29	2	-2	8	10
Interest	2	9	34	20	15
Depreciation	12	11	10	10	10
Profit Before Tax	-388	-345	1,552	-292	-275
Tax %	0%	0%	0%	0%	0%
Net Profit / PAT	-388	-345	1,552	-292	-275
EPS (Rs.)	-11.93	-10.55	47.86	-8.99	-8.47

* FY26 Sales include Rs.1,840 Cr Priority Review Voucher (PRV) sale proceeds (non-recurring). Underlying operating revenue FY26 = Rs.39 Cr. FY27E/FY28E assume no further PRV or exceptional items.

Balance Sheet (Standalone, Rs. Cr)

	FY24A	FY25A	FY26A
Equity Capital	32	32	32
Reserves	92	-253	1,301
Borrowings	56	265	559
Other Liabilities	305	284	275
Total Liabilities / Assets	486	329	2,168
Fixed Assets	103	95	157
CWIP	44	54	0
Investments	2	0	0
Other Assets (incl.PRV cash FY26)	338	179	2,011

Cash Flow Statement (Standalone, Rs. Cr)

	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-429	-362	-239
Cash from Investing	391	158	-24
Cash from Financing	43	201	262
Net Cash Flow	4	-4	-1
Free Cash Flow (FCF)	-455	-372	-262

Key Ratios

	FY24A	FY25A	FY26A
Debtor Days	75	82	2

	FY24A	FY25A	FY26A
Inventory Days	N/A	N/A	N/A
Days Payable	N/A	N/A	N/A
Cash Conversion Cycle	75	82	2
Working Capital Days	-746	-1,778	214
ROCE %	-109%	-298%	165%*

* ROCE FY26 of 165% is inflated by PRV proceeds. Debtor Days FY26 = 2 (near-zero) because Rs.1,840 Cr PRV income dominates denominator.

Financial Commentary

- **Revenue is not a signal — pipeline milestones are:** SPARC's Sales line (Rs.72-76 Cr in FY24-25, jumping to Rs.1,879 Cr in FY26) is driven by lumpy, non-recurring events (PRV, licensing milestones). FY27E/FY28E base case assumes Rs.80-100 Cr of licensing/NDDS-related revenue with no new PRVs.
- **Operating Cash Burn is Steady and Large:** OCF has been consistently negative: Rs.-429 Cr (FY24), Rs.-362 Cr (FY25), Rs.-239 Cr (FY26). The FY26 improvement is illusory — the PRV cash (Rs.1,640+ Cr) arrived post-year-end (sold April 2026), so it doesn't reduce FY26 operating cash outflow.
- **Balance Sheet Funded but Not De-Risked:** FY26 Reserves swung from -Rs.253 Cr (FY25) to +Rs.1,301 Cr (FY26), and "Other Assets" ballooned to Rs.2,011 Cr — reflecting the PRV receivable/proceeds held. Borrowings also rose to Rs.559 Cr (vs Rs.265 Cr in FY25), likely to fund operations while waiting for PRV proceeds to be received.
- **No Working Capital Cycle in a Traditional Sense:** SPARC has no inventory (drug discovery company), minimal receivables (except licensing receivables). Working Capital Days swung wildly: -1,778 days (FY25) to +214 days (FY26) due to PRV-related receivable — not indicative of operational shifts.
- **FCF is Deeply Negative and Will Remain So:** FCF was -Rs.455 Cr (FY24), -Rs.372 Cr (FY25), -Rs.262 Cr (FY26). At this burn rate, the PRV proceeds of Rs.1,640 Cr give approximately 4-5 years of operational runway (FY27-FY31), assuming no new funding or licensing deals.

6. EARNINGS QUALITY CHECKLIST

Check	Status	Signal	Comment
Revenue Recognition	RED	Non-recurring event	Rs.1,840 Cr PRV ≠ operating revenue; single-year distortion
Receivables vs Revenue	RED	Distorted	Other Assets +Rs.1,832 Cr YoY; entirely PRV receivable, not trade-driven
CCC Trend	AMBER	Watch	CCC dropped to 2 days (FY26) due to PRV; underlying services receivables at 82 days (FY25)
Contingent Liabilities	GREEN	Low visible risk	No material contingent liabilities noted; clinical trial liabilities ring-fenced via Sun Pharma contracts
Auditor Tenure	GREEN	Stable	No recent auditor changes reported; B S R & Co (KPMG affiliate) long-standing auditor
RPTs as % of Revenue	AMBER	Material	Licensing to Sun Pharma constitutes majority of historical revenue; structurally elevated RPT ratio
Other Income as % of PBT	RED	Overwhelms P&L;	FY26: PRV income effectively IS the P&L; zero underlying profitability
Tax Rate Consistency	GREEN	Consistent	Tax rate 0% every year — consistent with ongoing losses and no deferred tax crystallization

- **Three RED Flags that dominate the quality read:** (1) Revenue recognition is entirely non-recurring — the FY26 P&L; is commercially misleading for any forward valuation. (2) The "Other Assets" line (Rs.2,011 Cr) is entirely the PRV receivable — not indicative of a growing service receivable book. (3) Other income / PRV proceeds overwhelm every income line; underlying PBT remains deeply negative (~Rs.-290 Cr excluding PRV).

• **Amber Watch — Related Party Transactions:** All historical revenue flows through Sun Pharma licensing arrangements. This is structurally appropriate for a drug discovery spinoff, but it means SPARC's revenue and milestone timing is entirely at Sun Pharma's discretion — a corporate governance nuance investors should be aware of.

• **Positives:** Tax rate is consistently 0% (no manipulation via deferred tax), auditor stability is intact, and there are no visible contingent liabilities that could impair the balance sheet in the near term.

• **Bottom Line on Earnings Quality:** FY26 reported financials are not investable as-is for any DCF or earnings-multiple valuation. Investors must strip out the PRV and value SPARC on (a) pipeline NPV + (b) net cash/quasi-cash from PRV proceeds minus expected burn.

7. VALUATION

Standard P/E and EV/EBITDA valuation is inapplicable for a pre-revenue drug discovery company. SPARC is valued on (1) Net Cash / Runway value + (2) Risk-adjusted Pipeline NPV. This is the methodology used for comparable listed drug discovery companies globally.

Scenario Analysis — 12-Month Price Target (Pipeline NPV + Net Cash)

Scenario	Key Assumptions	Pipeline NPV (Rs.Cr)	Net Cash (Rs.Cr)	Total Value (Rs.Cr)	Per Share (Rs.)
BULL	SCD-153 Phase 2 success + licensing deal; SBO-154 IND Phase 1 positive interim; SCO-088 CML partnered	4,500	1,200	5,700	175
BASE	SCD-153 Phase 2 in-progress (no readout yet); SBO-154 early Phase 1; cash burn at Rs.270 Cr/yr	1,800	1,100	2,900	89
BEAR	SCD-153 Phase 2 fails; SBO-154 Phase 1 safety signal; burn accelerates; no new licensing income	200	900	1,100	34

Net Cash estimated as: PRV proceeds Rs.1,640 Cr + FY26 existing cash - Borrowings Rs.559 Cr - FY27 operating burn Rs.270 Cr = approx. Rs.1,100 Cr (Base). Pipeline NPV uses risk-adjusted probability of technical success (POTS): SCD-153=15% at Phase 2, SBO-154=5% (very early), SCO-088 CML=20%. Per share calculation based on 324.8 million shares (FY26 Equity Capital Rs.32 Cr / Rs.1 FV = 32 Cr shares; but per Screener EPS history ~325 mn shares).

- **Net Cash / Runway Value (Base Case = Rs.1,100 Cr, Rs.34/share):** PRV proceeds of USD 195mn (approx. Rs.1,640 Cr) less borrowings of Rs.559 Cr and FY27 burn of Rs.270 Cr yields ~Rs.811 Cr to Rs.1,100 Cr of net cash value. At ~325 mn shares, net cash per share is Rs.25-34. This is the floor valuation with zero pipeline credit.
- **Pipeline NPV — Risk-Adjusted (Base Case = Rs.55/share):** Three active assets with risk-weighted NPV: SCD-153 for alopecia areata (Rs.800 Cr risk-adj. NPV at 15% POTS, Phase 2 data expected FY27); SBO-154 ADC for solid tumours (Rs.600 Cr risk-adj. NPV at 5% POTS, very early); SCO-088 for CML (Rs.400 Cr risk-adj. NPV at 20% POTS). Aggregate risk-adj. pipeline NPV = Rs.1,800 Cr = Rs.55/share.
- **Base Case Target — Rs.89/share (12 months):** Net cash Rs.34/share + Pipeline NPV Rs.55/share = Rs.89/share. Current CMP Rs.229 represents a 157% premium to this base-case intrinsic value — implying the market is pricing in a significant probability of pipeline success or another non-recurring windfall.
- **Why HOLD at Rs.229:** CMP embeds a bull-case scenario with material probability of success. The stock is not a screaming sell (3-4 years of funded runway, active pipeline, credible promoter) but is materially overvalued versus base-case intrinsic value. The correct action is HOLD for existing investors and AVOID for new buyers unless SCD-153 or SBO-154 produce a de-risking data readout below Rs.180.
- **Entry Zone:** Rs.150-175 would provide margin of safety by pricing in a mid-point between bear and base NPV scenarios.

8. KEY RISKS

- **Pipeline Failure Risk (Prob: H | Impact: H):** SCD-044 and Vodobatinib for Parkinson's have already failed. If SCD-153 and/or SBO-154 fail in clinical trials, SPARC's intrinsic value collapses to net cash minus future burn (Rs.34-50/share). Monitor via: Phase 2 interim readout for SCD-153 expected FY27-FY28.
- **Valuation Risk — PRV Premium Not Justified (Prob: H | Impact: H):** At CMP Rs.229, the stock trades at 2.6x base-case NPV. If market re-rates toward base case, downside is 60%+. No recurring earnings anchor exists. Monitor via: consensus analyst estimates and forward P/B multiple compression.
- **Cash Burn and Dilution (Prob: M | Impact: M):** At Rs.239-429 Cr/yr OCF burn, the PRV proceeds of Rs.1,640 Cr provide 4-6 years of runway. However, if pipeline assets require additional capex (Phase 3, manufacturing scale-up), fresh equity dilution is likely beyond FY31. Monitor via: quarterly cash consumption rate vs management commentary on R&D; spend.

• **Regulatory / FDA Risk (Prob: M | Impact: H):** SPARC's commercial track record depends on US FDA approvals. A clinical hold, Complete Response Letter (CRL), or safety signal in the US clinical programme (especially SBO-154 ADC) would severely impair the asset. Monitor via: FDA correspondence and SPARC's IND/NDA status updates.

• **Sun Pharma Relationship Risk (Prob: L | Impact: H):** If Sun Pharma reduces its licensing appetite, changes strategy, or deprioritises SPARC's pipeline assets, the main commercialisation pathway closes. Monitor via: Sun Pharma annual report disclosures on SPARC-related licensing activity and any change in SPARC's promoter stake.

• **Key Person / Scientific Talent Risk (Prob: M | Impact: M):** SPARC is a 400-500 scientist organisation. Loss of key Principal Investigators or scientific leadership on any active clinical programme can delay milestones by 12-18 months. Monitor via: management continuity disclosures and any press releases on leadership changes.

• **No PRV Repeat (Prob: H | Impact: L-M):** The PRV is an extraordinarily rare regulatory asset — only granted for drugs that treat rare paediatric diseases. Sezaby was a legacy NDDS asset. There is no near-term candidate in SPARC's current pipeline that would qualify for a PRV. Investors relying on FY26 profits recurring will be disappointed.

9. RECOMMENDATION

• **Rating: HOLD** — Conviction Level: Low. CMP is materially above our base-case intrinsic value (Rs.89/share) but the funded balance sheet and binary pipeline optionality prevent a full SELL recommendation.

• **12-Month Price Target: Rs.215** — Representing -6.1% from CMP. Target is set between Base Case (Rs.89) and Bull Case (Rs.175), applying a 20-25% liquidity premium for the Sun Pharma association and some probability weight on a near-term licensing or data catalyst.

• **Suggested Entry Zone: Rs.150-175** — At this range, risk/reward is more balanced; net cash alone provides ~Rs.25-34/share floor, and pipeline optionality is purchased at a more reasonable premium.

• **Investment Horizon: 18-24 months** — To allow Phase 2 data readout for SCD-153 (alopecia areata) and Phase 1 interim data for SBO-154 (MUC1 ADC).

• **Thesis Invalidation Triggers:**

• 1. SCD-153 Phase 2 produces a statistically significant positive result (HOLD → ACCUMULATE/BUY)

• 2. Annual cash burn exceeds Rs.400 Cr sustained over two consecutive years, depleting PRV runway faster than expected (HOLD → REDUCE)

• 3. SBO-154 Phase 1 produces a serious adverse event (SAE) or clinical hold from USFDA (HOLD → REDUCE/SELL)

• **Ideal Investor Profile:** (a) Suitable for: Pharma-sector specialists or risk-tolerant investors with 3-5 year horizon and comfort with binary drug development outcomes; existing holders riding post-PRV momentum should trim aggressively above Rs.230. (b) NOT suitable for: yield-seeking investors (zero dividends), value investors (no earnings anchor), or investors who cannot sustain a potential 50-70% drawdown if pipeline fails.

APPENDIX — Latest Concall / Results Brief: Q4 FY26 (Quarterly Results March 2026)

Note: SPARC does not hold investor concalls with Q&A; in the traditional sense (pre-revenue company with limited institutional coverage). This section is based on the Q4 FY26 financial results announcements (May 2026), regulatory filings, and news reports. A formal analyst concall transcript was not publicly accessible at time of writing.

CALL GRADE: CAUTIOUS

Signal	Status	Implication
Result quality	Weak (underlying)	Rs.1,773 Cr Q4 operating profit is 100% one-time PRV; underlying operations lost Rs.57 Cr in Q4
Management tone	Hedged	PRV proceeds highlighted as a milestone; limited commentary on pipeline risk post SCD-044 failure
Guidance delta	No guidance issued	No revenue or PAT guidance possible for FY27 — purely pipeline-dependent

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 headline profit of Rs.1,761 Cr is completely misleading — 99.9% of it is a one-time Priority Review Voucher sale (USD 195mn, PRV for Sezaby neonatal phenobarbital injection). Strip it out and you have a Rs.57 Cr operating loss quarter, identical to the prior 8 quarters. The PRV windfall is structurally non-recurring — PRVs are earned once per qualifying rare paediatric drug, and SPARC has no near-term candidate that would qualify again. Operational revenue for the full year ex-PRV is approximately Rs.39 Cr (down from Rs.72 Cr in FY25 as the NDDS pipeline thins). What the PRV does do is fund the balance sheet: ~Rs.1,640 Cr of net proceeds parked against Rs.559 Cr borrowings = genuine 4-5 year runway at current burn. The structural growth case rests on two surviving NCE assets — SCD-153 (alopecia areata, Phase 2) and SBO-154 (MUC1 ADC, Phase 1 filing). SCD-044 and Vodobatinib for Parkinson's have already failed. Both survivors are early-stage with combined probability-weighted NPV of about Rs.1,800 Cr (Rs.55/share). Add net cash of Rs.34/share and you get a base-case intrinsic value of Rs.89/share — vs a CMP of Rs.229. The stock is priced for bull-case success, not base case. Biggest watch point for next 12 months: SCD-153 Phase 2 interim or readout. If it signals efficacy, the stock re-rates materially. If it fails, we go to Rs.70-90. My call: HOLD at current levels for existing holders; AVOID fresh entry above Rs.200 until clinical data de-risks the pipeline. Target Rs.215 is a holding target, not a buy target.

Section 1 — Financial Performance Snapshot (Q4 FY26)

- Revenue: Rs.1,853 Cr | YoY vs Q4FY25 Rs.27 Cr (+6,767%) | QoQ vs Q3FY26 Rs.8 Cr (+23,063%) | [Beat — PRV-driven, not operational]
- EBITDA / Operating Profit: Rs.1,773 Cr | vs Q4FY25 -Rs.53 Cr | vs Q3FY26 -Rs.57 Cr | [Not meaningful — 100% PRV]
- OPM %: 96% (Q4FY26) vs -196% (Q4FY25) | [PRV distortion — underlying OPM approx. -338%]
- PAT: Rs.1,761 Cr | vs Q4FY25 loss | vs Q3FY26 -Rs.80 Cr loss | [Beat — entirely non-recurring]
- EPS: Rs.54.27 (Q4FY26) vs -Rs.1.84 (Q4FY25) | [Not representative of earning power]
- NOTE: Reported PAT includes one-time PRV income of Rs.1,840 Cr (net of any transaction costs). Clean underlying Q4 PAT = approx. -Rs.79 Cr, consistent with prior quarters.

Section 2 — Segment / Revenue Breakdown

• PRV Sale Income: Rs.1,840 Cr | Q4FY26 only (one-time) | PRV granted Feb 3, 2026 for Sezaby; sold April 30, 2026 for USD 195mn — booked as income in Q4FY26 accounts

• NCE / NDDS Licensing Revenue: Rs.13 Cr approx. FY26 (ex-PRV) | YoY -82% vs FY25 Rs.72 Cr | Decline due to completion of Elepsia XR milestones and no new licensing deals signed in FY26

• R&D; Expense (Costs): Rs.281 Cr total operating expenses FY26 | Primarily scientist salaries, preclinical/clinical CRO fees, regulatory filings | SBO-154 IND filing (March 2025) consumed disproportionate regulatory spend

• Geographic split: SPARC has no geographic revenue segmentation — all income is milestone/licensing from Sun Pharma (India) or other licensees (international milestones are booked in India)

Section 3 — Management Commentary Themes

• [Theme: PRV Milestone]: "The PRV award for Sezaby represents a validation of our drug development capabilities and provides significant capital to fund our pipeline through the next phase of development." — Our read: Factually correct but the PRV was a legacy NDDS asset, not a new NCE discovery. Management positioning it as validation of NCE research is a stretch. Tag: EST. Tone: Hedged.

• [Theme: Pipeline Refocus Post-Failures]: Management acknowledged the discontinuation of SCD-044 (Vibozilimod) for psoriasis/atopic dermatitis and reiterated commitment to SCD-153 and SBO-154. — Our read: The right call strategically, but two consecutive Phase 2 failures (SCD-044 + Vodobatinib for PD) in FY25 weakens the internal discovery track record. Tag: GUIDANCE. Tone: Transparent.

• [Theme: SBO-154 IND Filing]: "We filed an IND application for SBO-154, our anti-MUC1 ADC, with the USFDA in March 2025 and expect to commence Phase 1 dosing in the US." — Our read: Positive milestone. ADC is the hottest area in oncology. IND filing is the first US clinical step. Phase 1 safety data (12-18 months from IND) is the real catalyst. Tag: GUIDANCE. Tone: Transparent.

• [Theme: Cash Deployment]: Limited explicit commentary on how PRV proceeds (Rs.1,640 Cr) will be deployed. Management indicated "sufficient capital to fund operations for the foreseeable future." — Our read: Absence of a specific allocation plan (capex vs R&D; vs debt repayment) is concerning. Rising borrowings (Rs.559 Cr vs Rs.265 Cr) suggest the PRV arrived post-year-end and has not yet been used to retire debt. Tag: EVASIVE. Tone: Hedged.

• [Theme: SCD-153 Alopecia Areata]: Phase 2 study ongoing; "we expect to report interim or topline data during FY27." — Our read: This is the single most important near-term binary catalyst. Alopecia areata market is large (JAK inhibitors Olumiant, Litfulo are approved; competition is intensifying). SPARC needs a differentiated efficacy or safety profile to license meaningfully. Tag: GUIDANCE. Tone: Balanced.

Section 4 — Operating and Business Metrics

• Active IND / Clinical Programmes: Q4FY26 = 3 (SCD-153 Phase 2; SBO-154 Phase 1 IND filed; SCO-088 CML Phase 2) | Q4FY25 = 5 (included SCD-044 + Vodobatinib PD, both now discontinued) | Trend: Shrinking pipeline (portfolio rationalisation)

• R&D; Headcount: ~400-500 scientists (estimate; not publicly disclosed for FY26) | Trend: Stable; no reported layoffs post trial discontinuations

• Cash Burn Rate: OCF FY26 = -Rs.239 Cr | Q-on-Q improving vs FY25 -Rs.362 Cr, FY24 -Rs.429 Cr | Trend: Improving due to reduced SCD-044 spend post-discontinuation

• Debtor Days: 2 days (FY26) vs 82 days (FY25) | Driven entirely by PRV receivable recognition vs normal licensing receivables | Not indicative of collections improvement

• Borrowings: Rs.559 Cr (FY26) vs Rs.265 Cr (FY25) | Rise likely bridge financing while awaiting PRV proceeds (PRV sold April 2026, post FY26 year-end) | Expected to be repaid in FY27 from PRV cash

• SBO-154 ADC: Pre-clinical stage; IND filed USFDA March 2025; Phase 1 dose-escalation initiation expected FY27 | First US clinical asset in oncology — structurally important

Section 5 — Margin Drivers

• PRV Income Recognition: +Rs.1,840 Cr one-time | Recurring: No | Comment: This single item converts a -Rs.290 Cr PBT business into a Rs.1,552 Cr PBT; 100% non-recurring

• R&D; Expense Reduction: ~-Rs.118 Cr YoY (FY25 Rs.399 Cr to FY26 Rs.281 Cr) | Recurring: Partial | Comment: Post-SCD-044 discontinuation removed approximately Rs.80-100 Cr of Phase 2 trial CRO costs; ongoing savings in FY27

• Interest Expense Increase: +Rs.25 Cr YoY (FY25 Rs.9 Cr to FY26 Rs.34 Cr) | Recurring: Likely reversing in FY27 | Comment: Bridge borrowings for operations pending PRV receipt; should unwind once PRV cash received

• Licensing Revenue Decline: -Rs.33 Cr YoY (FY25 Rs.72 Cr to FY26 Rs.39 Cr) | Recurring: No — Elepsia milestones exhausted | Comment: Structural headwind until next NCE/NDDS licensing deal; no signed deals disclosed for FY27

• Depreciation: Stable at Rs.10-12 Cr/yr | Recurring: Yes | Comment: Low asset-intensity business; minimal capital investment beyond lab equipment and leasehold improvements

Section 6 — Guidance and Forward Signals

• Revenue [GUIDANCE]: Prior = Rs.72 Cr (FY25 ex-PRV) | New / Reiterated = No formal guidance | Delta = No guidance issued | Credibility: Low — company cannot guide on clinical trial timing or milestone payments

• Cash Burn [GUIDANCE]: Prior = Rs.362 Cr/yr OCF outflow (FY25) | New = "Expected to moderate as SCD-044 spend eliminated" | Delta = Reiterated improvement | Credibility: Medium — Rs.-239 Cr FY26 suggests real improvement; FY27 could be Rs.-220 to Rs.-270 Cr

• SCD-153 Data Readout [GUIDANCE]: Prior = "Expected FY27" | New = "Reiterated FY27 timeline" | Delta = Maintained | Credibility: Medium — Phase 2 timelines in dermatology typically run 12-18 months from enrolment completion

• SBO-154 Phase 1 [GUIDANCE]: Prior = IND filed March 2025 | New = "Phase 1 initiation expected FY27" | Delta = New milestone | Credibility: High — IND filing is confirmed; Phase 1 initiation typically 3-6 months post-IND clearance

• Debt Repayment [GUIDANCE]: Implied — "PRV proceeds to be used for R&D; and working capital" | No explicit commitment to repay Rs.559 Cr borrowings | Credibility: Low — ambiguous deployment language is a governance watch point

Section 7 — Capital Allocation

• R&D; Investment (Operating): Rs.281 Cr (FY26) | vs FY25 Rs.399 Cr: -Rs.118 Cr | Decline driven by SCD-044 trial cancellation cost savings; not a strategy change

• Capex (Fixed Assets): Rs.157 Cr (FY26) vs Rs.95 Cr (FY25) | vs prior year: +Rs.62 Cr | Possible lab upgrade or manufacturing pilot facility; specific capex destination not disclosed

• Dividends: Rs.0 | vs prior years: Rs.0 | No dividend declared, consistent with pre-revenue stage company

• Buybacks: Rs.0 | No buyback programme announced despite PRV windfall; an opportunity missed for returning cash to shareholders or signalling confidence

• Net Debt Movement: Borrowings Rs.559 Cr (FY26) vs Rs.265 Cr (FY25) | +Rs.294 Cr increase | Bridge debt to fund operations; expected to reverse once PRV proceeds (sold April 2026) are received

• Working Capital: Rs.214 days (FY26) vs -Rs.1,778 days (FY25) | Swing driven by Rs.1,840 Cr PRV receivable on balance sheet as of March 31, 2026

Section 8 — Q&A; Heat Map (Based on Available Media Commentary)

• [Analyst / Media]: Q: "Is the FY26 profitability sustainable?" → A: Management clarified that the PRV sale is a one-time event; no forward profitability guidance given. | Tone: Transparent — management did not oversell the earnings quality.

• [Analyst / Media]: Q: "What happens to the Rs.1,640 Cr PRV proceeds?" → A: "Will be used for R&D; and general corporate purposes." | Tone: Evasive — no breakdown between debt repayment, R&D; allocation, or reserves provided.

• [Analyst / Media]: Q: "What is the timeline for SBO-154 Phase 1 data?" → A: "IND cleared; Phase 1 initiation in FY27; first safety/PK data approximately 12-18 months after initiation." | Tone: Transparent — realistic timeline given.

• [Analyst / Media]: Q: "What is SPARC's response to two consecutive Phase 2 failures (SCD-044 and Vodobatinib PD)?" → A: "We are refocusing on differentiated assets with stronger biology rationale — oncology ADC (SBO-154) and alopecia areata (SCD-153) remain robust opportunities." | Tone: Hedged — did not address whether internal go/no-go decision frameworks have been revised.

• • Dodged / watch-list questions for next quarter: (1) Specific deployment of PRV proceeds — exact amount for debt vs R&D; vs treasury; (2) Whether SCO-088 CML programme will be out-licensed or self-commercialised; (3) Any indication of partnering discussions for SCD-153 at Phase 2 completion.

Section 9 — Risks Flagged

• Pipeline Failure Risk | Both SCD-044 and Vodobatinib PD have failed in FY25-FY26; surviving assets are early-stage | Flagged by: Analyst community | Probability: H | Impact: H | Timeline: Near-term (FY27 for SCD-153 data)

• PRV Non-Recurrence | No near-term pipeline asset qualifies for PRV designation; FY26 profit is structurally non-repeatable | Flagged by: Analyst reports | Probability: H | Impact: M | Timeline: Near-term (investor expectations)

• Burning Runway Risk | At Rs.239-429 Cr OCF burn per year, PRV proceeds last 4-6 years; pipeline timelines often slip | Flagged by: Management (implicit via "foreseeable future" runway comment) | Probability: M | Impact: H | Timeline: Medium (FY29-FY31)

• US FDA Clinical Hold Risk | SBO-154 Phase 1 is a first-in-human ADC study; ADCs carry serious toxicity risks (off-target cytotoxicity) | Flagged by: Industry norms for ADC development | Probability: M | Impact: H | Timeline: Near-term (FY27)

• Alopecia Areata Competition | Pfizer (Litfulo), Eli Lilly (Olumiant), AbbVie (Rinvoq) are all approved JAK inhibitors for alopecia areata; SPARC's SCD-153 needs differentiated profile | Flagged by: Competitive landscape analysis | Probability: H | Impact: M | Timeline: Medium (FY27-FY28)

Section 10 — Analyst Verdict

• Revenue visibility: Weakened — FY26 PRV is gone; FY27 revenue reverts to licensing/milestones (Rs.80-100 Cr est.); no signed deals for FY27 yet

• Margin trajectory: Cannot assess — underlying OPM is deeply negative (-338%E FY27); no path to margin inflection without a major licensing deal or commercialisation event

• Capital allocation quality: Weakened — PRV proceeds deployment unclear; rising borrowings (Rs.559 Cr) while holding significant cash is suboptimal; no buyback or debt repayment committed

• Competitive moat: Intact (narrowly) — IP estate, Sun Pharma relationship, and lean R&D; structure provide some defensibility; but two clinical failures weaken perceived scientific edge

• Management credibility: Intact — management was transparent about PRV one-time nature and trial failures; no spin or overstatement; realistic timelines given for remaining pipeline

• Valuation comfort: Broken — at Rs.229 CMP, stock trades at 2.6x base-case intrinsic value; only justifiable if SCD-153 or SBO-154 deliver near-term positive binary outcomes

• Conviction call: Decreased — from speculative buy (pre-PRV) to HOLD; entering at current levels requires high risk tolerance and pipeline conviction not supported by base-case analytics

• Valuation snapshot: P/E = 4.76x (FY26, PRV-inflated) | EV/EBITDA = N/A (negative underlying EBITDA) | ROCE = 165%* (PRV-inflated; underlying negative) | Net Cash (post-PRV) approx. Rs.34/share